

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2016	Bank		Group Consolidated	
		31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)
A. ASSETS					
1 Cash balances (both local and foreign)		322,997	477,037	322,997	477,117
2 Balances due from Central Bank of Kenya		4,126,559	2,895,246	4,126,559	2,895,246
3 Kenya Government and other securities held for dealing purposes		-	-	-	-
4 Financial Assets at fair value through profit and loss		-	-	-	-
5 Investment Securities:					
I Held to Maturity:		1,571,403	3,556,805	1,571,403	3,556,805
a. Kenya Government securities		1,571,403	3,556,805	1,571,403	3,556,805
b. Other securities		-	-	-	-
II Available for sale:		579,578	528,745	579,578	528,745
a. Kenya Government securities		579,578	528,745	579,578	528,745
b. Other securities		-	-	-	-
6 Deposits and balances due from local banking institutions		4,909,600	1,616	4,909,600	1,616
7 Deposits and balances due from banking institutions abroad		608,070	1,657,496	608,070	1,657,496
8 Tax recoverable		-	37,071	13,421	86,911
9 Loans and advances to customers (net)		53,021,022	54,469,605	53,021,022	54,469,605
10 Balances due from banking institutions in the group		-	-	-	-
11 Investments in associates		-	-	-	-
12 Investments in subsidiary companies		-	-	-	-
13 Investment in Joint ventures		255,561	274,498	1,080,213	1,280,110
14 Investment properties		-	-	1,319,204	2,000,304
15 Property and equipment		1,339,222	1,454,535	1,341,930	1,458,087
16 Prepaid operating lease rentals		39,398	38,937	45,396	44,751
17 Intangible assets		818,733	1,212,199	819,147	1,212,626
18 Deferred tax asset		584,879	751,368	576,351	756,234
19 Retirement benefit asset		-	-	-	-
20 Other assets		631,632	729,772	1,324,543	1,504,487
21 TOTAL ASSETS		68,808,654	68,084,930	71,659,434	71,930,140
B. LIABILITIES					
22 Balances due to Central Bank of Kenya		-	-	-	-
23 Customer deposits		41,887,526	38,155,860	41,665,085	38,082,325
24 Deposits and balances due to local banking institutions		-	624,701	-	624,701
25 Deposits and balances due to foreign banking institutions		-	-	-	-
26 Other money market deposits		-	-	-	-
27 Borrowed funds		17,465,953	18,789,686	18,540,375	19,736,615
28 Balances due to banking institutions in the group		-	-	-	-
29 Tax payable		10,722	-	110,068	4
30 Dividends payable		-	-	63,949	60,755
31 Deferred tax liability		-	-	43	-
32 Retirement benefit liability		-	-	-	-
33 Other liabilities		354,499	739,713	657,273	2,136,478
34 TOTAL LIABILITIES		59,718,700	58,309,960	61,036,793	60,640,878
C. SHAREHOLDERS' FUNDS					
35 Paid up /Assigned capital		5,000,000	5,000,000	1,744,483	1,746,908
36 Share premium/(discount)		3,513,662	3,513,662	4,339,712	4,342,137
37 Revaluation reserves		-	-	701,463	701,463
38 Retained earnings/Accumulated losses		165,918	806,719	3,225,082	3,895,716
39 Statutory loan loss reserves		393,046	453,487	393,046	453,487
40 Other Reserves		(33,422)	(49,648)	(58,678)	(75,890)
41 Proposed dividends		-	-	226,783	174,691
42 Capital grants		50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS		9,089,954	9,774,970	10,622,641	11,289,262
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		68,808,654	68,084,930	71,659,434	71,930,140

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2016	Bank		Group Consolidated	
		31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)
1 INTEREST INCOME					
1.1 Loans and advances		7,218,269	7,889,464	7,218,269	7,889,838
1.2 Government securities		122,955	503,578	122,955	503,578
1.3 Deposits and placements with banking institutions		758,890	214,083	756,912	214,083
1.4 Other Interest Income		-	-	-	-
1.5 Total interest income		8,100,114	8,607,125	8,098,136	8,607,499
2 INTEREST EXPENSES					
2.1 Customer deposits		2,891,701	2,940,117	2,857,720	2,937,487
2.2 Deposits and placement from banking institutions		-	1,932	-	1,932
2.3 Other interest expenses		1,626,833	1,701,706	1,628,462	1,733,965
2.4 Total interest expenses		4,518,534	4,643,755	4,486,182	4,673,384
3 NET INTEREST INCOME/(LOSS)		3,581,580	3,963,370	3,611,954	3,934,115
4 OTHER OPERATING INCOME					
4.1 Fees and commissions on loans and advances		191,678	148,782	191,678	148,781
4.2 Other fees and commissions		106,536	118,823	151,008	172,452
4.3 Foreign exchange trading income/(Loss)		59,959	3,913	59,959	3,913
4.4 Dividend Income		200,000	-	-	-
4.5 Other income		122,388	88,592	768,444	430,403
4.6 Total Non-interest income		680,561	360,110	1,171,089	755,549
5 TOTAL OPERATING INCOME		4,262,141	4,323,480	4,783,043	4,689,664
6 OPERATING EXPENSES					
6.1 Loan loss provision		503,771	699,166	503,771	699,166
6.2 Staff costs		1,004,192	787,235	1,098,664	1,071,976
6.3 Directors' emoluments		18,746	19,153	19,630	21,577
6.4 Rental charges		61,493	99,042	61,493	99,042
6.5 Depreciation charge on property and equipment		93,489	151,502	93,924	154,043
6.6 Amortisation charges		10,739	172,497	10,799	172,583
6.7 Other operating expenses		832,810	949,534	1,324,256	1,123,397
6.8 Total Other Operating Expenses		2,525,240	2,878,129	3,112,537	3,341,784
7 Profit/(loss) before tax and exceptional items		1,736,901	1,445,351	1,670,506	1,347,880
8 Exceptional items		83,012	18,937	83,012	17,773
9 Profit/(loss) after exceptional items		1,819,913	1,464,288	1,753,518	1,365,653
10 Current tax		(620,264)	(622,579)	(684,242)	(632,796)
11 Deferred tax		125,121	159,534	127,693	172,972
12 Profit/(loss) after tax and exceptional items		1,324,770	1,001,243	1,196,969	905,829
13 Other Comprehensive Income					
13.1 Gains/(Losses) from translating the financial statements of foreign operations		-	-	-	-
13.2 Fair value changes in available for sale financial assets		(19,190)	(23,184)	(19,190)	(24,167)
13.3 Revaluation surplus on Property, plant and equipment		-	-	-	-
13.4 Share of other comprehensive income of associates		-	-	-	-
13.5 Income tax relating to components of other comprehensive income		5,757	6,955	5,757	6,955
14 Other Comprehensive Income for the year net of tax		(13,433)	(16,299)	(13,433)	(17,212)
15 Total comprehensive income for the year		1,311,337	985,014	1,183,536	888,617
Earnings per share		111.79	200.25	3.43	2.59
Dividend per share		-	60	1.30	0.50

III	DISCLOSURES AS AT 31 DECEMBER 2016	Bank		Group Consolidated	
		31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.12.2016 Audited (Ksh'000)
1 Non-Performing Loans and Advances					
a) Gross non-performing loans and advances		4,097,356	6,193,462	4,097,356	6,193,462
b) Less: Interest in Suspense		610,211	1,017,611	610,211	1,017,611
c) Total non-Performing loans and advances (a-b)		3,487,145	5,175,851	3,487,145	5,175,851
d) Less: Loan loss provisions		992,862	1,298,340	992,862	1,298,340
e) Net non-performing loans and advances (c-d)		2,494,283	3,877,511	2,494,283	3,877,511
f) Discounted value of securities		2,494,283	3,877,511	2,494,283	3,877,511
g) Net Exposure (e-f)		-	-	-	-
2 Insider loans and advances					
a) Directors, shareholders and associates		735,933	582,265	735,933	582,265
b) Employees		1,002,120	1,139,934	1,002,120	1,139,934
c) Total Insider Loans and Advances		1,738,053	1,722,199	1,738,053	1,722,199
3 Off-Balance Sheet items					
a) Letters of credit, guarantees and acceptances		256,256	1,052,829	256,256	1,052,829
b) Forwards, swaps and options		-	399,750	-	399,750
c) Other contingent liabilities		-	-	-	-
d) Total contingent liabilities		256,256	1,452,579	256,256	1,452,579
4 Capital Strength					
a) Core capital		8,094,702	8,519,365	9,929,895	10,132,386
b) Minimum Statutory Capital		1,000,000	1,000,000	1,000,000	1,000,000
c) Excess/Deficiency		7,094,702	7,519,365	8,929,895	9,132,386
d) Supplementary capital		1,453,235	1,060,468	1,453,235	1,060,468
e) Total capital (a+d)		9,547,937	9,579,833	11,383,130	11,192,854
f) Total risk weighted assets		52,671,912	54,161,313	55,586,972	57,093,732
g) Core capital / Total deposit liabilities		19.32%	21.97%	23.83%	26.18%
h) Minimum Statutory Ratio		8.00%	8.00%	8.00%	8.00%
i) Excess/Deficiency		11.32%	13.97%	15.83%	18.18%
j) Core capital / Total risk weighted assets		15.37%	15.73%	17.86%	17.75%
k) Minimum Statutory Ratio		10.50%	10.50%	10.50%	10.50%
l) Excess/Deficiency (j-k)		4.87%	5.23%	7.36%	7.25%
m) Total capital / Total risk weighted assets		18.13%	17.69%	20.48%	19.60%
n) Minimum Statutory Ratio		14.50%	14.50%	14.50%	14.50%
o) Excess/Deficiency (m-n)		3.63%	3.19%	5.98%	5.10%
5 Liquidity					
a) Liquidity Ratio		28.04%	21.05%	28.04%	21.05%
b) Minimum Statutory Ratio		20.00%	20.00%	20.00%	20.00%
c) Excess(Deficiency) (a-b)		8.04%	1.05%	8.04%	1.05%

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Opening balance
Minimum balance
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Features & Benefits

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- No minimum balance
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HFC is regulated by the Central Bank of Kenya

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institution's head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi after the approval by members at the annual general meeting.

Sam Waweru
HFC Managing Director

Frank Ireri
Group Managing Director

Steve Mainda
Group Chairman

www.hfgroup.co.ke

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HFC is regulated by the Central Bank of Kenya